

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-10

**REVOCATION OF OCEAN TRANSPORTATION INTERMEDIARY
LICENSE NO. 017843 – WASHINGTON MOVERS, INC.**

**INITIAL DECISION REVOKING
OCEAN TRANSPORTATION INTERMEDIARY LICENSE¹**

I. INTRODUCTION.

Respondent Washington Movers, Inc. (Washington Movers) is an ocean transportation intermediary (OTI) licensed by the Federal Maritime Commission. On October 8, 2015, the Commission ordered Washington Movers to show cause why the Commission should not revoke its OTI license. The Commission noted that Sam Ghanem, Washington Movers' qualifying individual (QI), had been convicted of two felonies for attempting to smuggle weapons and that Washington Movers had not reported the conviction to the Commission. The Commission also noted that it appeared Washington Movers had failed to report a name change to the Commission. *Revocation of Ocean Transportation Intermediary License No. 017843 – Washington Movers, Inc.*, FMC No. 15-10 (FMC Oct. 8, 2015) (Order to Show Cause) (*Washington Movers*).

Washington Movers filed a timely reply to the order, arguing that revocation is not warranted because: (1) Sam Ghanem's conduct is independent of conduct of Washington Movers; and (2) Washington Movers' failure to notify the Commission of its name change or of Sam Ghanem's arrest and conviction is not sufficiently egregious to warrant revocation of its license. Washington Movers also claimed that it is no longer associated with Sam Ghanem and submitted evidence purporting to show that Sam Ghanem transferred 100% ownership and control of the corporation to his wife, Norma Ghanem, shortly after he was arrested. The same date, Washington Movers replied to the order to show cause, Norma Ghanem moved to intervene in this proceeding. The

¹ The initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

Commission's Bureau of Enforcement (BOE) filed a reply to Washington Movers' response to the order.

On February 12, 2016, the Commission issued an order denying Norma Ghanem's motion to intervene. The Commission assigned this matter "to the Office of Administrative Law Judges to consider whether further submissions are necessary, to determine whether an evidentiary hearing is warranted, to make factual findings, and to issue an Initial Decision regarding revocation of Washington Movers' OTI license." *Washington Movers*, FMC No. 15-10, Order at 11 (FMC Feb. 12, 2016) (Order Regarding Preliminary Issues).

The parties have engaged in discovery and filed their briefs and supporting evidence. This proceeding is ripe for decision.

II. BACKGROUND.

Washington Movers is a Virginia corporation incorporated on July 11, 1996. Sam R. Ghanem (Sam Ghanem) was owner and president of Washington Movers from the time of its incorporation until January 1, 2014. Washington Movers is also qualified to do business as a foreign corporation in the State of Maryland. FF 1-3; FF 6.²

The Shipping Act of 1984 established the Commission to administer a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States. The regulatory process includes the licensing and regulation of OTIs. Washington Movers has been licensed by the Commission to operate as an OTI since April 8, 2003 (as an ocean freight forwarder) and June 29, 2005 (as a non-vessel-operating common carrier (NVOCC)). FF 4. The OTI regulations require an entity licensed as an OTI to have a QI who has "a minimum of three (3) years' experience in ocean transportation intermediary activities in the United States, and the necessary character to render ocean transportation intermediary services." 46 C.F.R. § 515.11(a)(1). Washington Movers identified Sam Ghanem as Washington Movers's QI, and he is the only QI for Washington Movers approved by the Commission. FF 7-8.

Washington Movers, Inc. changed its name to Washington Movers International, Inc., effective November 7, 2008. Although Washington Movers filed its name change with the Department of Assessments and Taxation for the State of Maryland, it did not notify the Commission that it had changed its name and did not file a revised bond with the Commission reflecting its amended corporate name. FF 9-12.³

² "FF" followed by a number refers to a finding of fact set forth in Part VI.

³ Although Washington Movers has changed its name, this initial decision refers to it as Washington Movers, the name under which it holds its Commission OTI license.

In 2013, Sam Ghanem met with a former Washington Movers employee who had also used Washington Movers to ship cars overseas. Unbeknownst to Sam Ghanem, the former employee was a confidential informant for the FBI. The former employee told Sam Ghanem that he wanted to smuggle money to Lebanon and had hidden \$100,000 in a car, although in reality this was not currency, but ten bundles of paper made to resemble currency. The former employee said that he wanted to make sure that the car would not be searched. Sam Ghanem told the former employee that if the car were shipped in a maritime container, it would not be searched. The former employee gave Sam Ghanem \$1,000 cash to cover the shipping costs and Sam Ghanem stated that he would ship the car in a container. The car was successfully shipped to Lebanon. (BOE Ex. 1 ¶¶ 6-10.)⁴

Several months later, the former employee told Sam Ghanem that he had friends who wanted to smuggle weapons into Lebanon. Sam Ghanem and the former employee discussed shipping the weapons in a maritime container containing salvaged car parts, as Sam Ghanem stated the car parts would help conceal the weapons from detection if the container were scanned. (BOE Ex. 1 ¶¶ 11-20.)

Prior to loading the container, Sam Ghanem used Washington Movers to make the arrangements to ship the container to Lebanon using Washington Movers' service contract with Mediterranean Shipping Company (MSC), a vessel-operating common carrier. A dock receipt was created identifying "Washington Mover Inc." [sic] as the exporter of the salvaged motor vehicle and parts. MSC issued a booking receipt and booking confirmation identifying Washington Movers, "Contact: Sandra," as the shipper of the salvaged motor vehicle and parts. MSC took the booking on December 19, 2013. The Booking Confirmation indicates the shipment would be transported pursuant to Service Contract number 13-306WW between MSC and Washington Movers. FF 14-18.

Sam Ghanem purchased salvaged vehicles, dismantled them, and on December 21, 2013, helped by Washington Movers' employees, concealed the weapons among the car parts in a maritime container at the Washington Movers facility. After the container was loaded, law enforcement agents arrested Sam Ghanem. FF 13, 19. During his Mirandized post-arrest statement, Sam Ghanem admitted that he unlawfully concealed the weapons in the shipping container and admitted that his intended shipment of the concealed weapons overseas would have been a violation of export laws and restrictions. FF 20.

At Washington Movers' request, on November 9, 2016, Norma Ghanem, Sam Ghanem's wife and the current owner of Washington Movers, testified under oath subject to cross-examination by BOE. Norma Ghanem testified that she had worked for Washington Movers for around twenty years. Nov. 9, 2016, Hrng T'script at 6:5-8. On Saturday, December 21, 2013, the day on which Sam Ghanem was arrested, he left their dwelling while she was still asleep. Nov. 9, 2016, Hrng T'script at 10:5-8. Later that morning, armed FBI agents arrived at their home and took Norma Ghanem and

⁴ The documents submitted by the parties before October 19, 2016, have been marked for identification, admitted into evidence, and filed with the Secretary. See *Washington Movers*, FMC No. 15-10 (ALJ Nov. 10, 2016) (Notice of Filing). See Part V below for a list of exhibits.

her children out in the parking lot while the agents searched their dwelling. She learned from the agents that Sam Ghanem had been arrested on a charge of shipping weapons. Nov. 9, 2016, Hrng T'script at 10:15-12:10. Norma Ghanem testified that she did not know about Sam Ghanem's plans to ship the weapons. Nov. 9, 2016, Hrng T'script at 15:7-11.

Norma Ghanem returned to the Washington Movers facility on the following Monday or Tuesday. When she entered the warehouse, "there was no computer, no piece of paper, no files, no server, nothing in anybody's desk. Not on my desk, Sam's desk, Sandra's desk, every place, no papers whatsoever." Nov. 9, 2016, Hrng T'script at 12:7-12:10.

[NORMA GHANEM]: I was helpless. I did not know what to do. There was no money. The money was seized, too. And then I had over 35 shipments, some of it arrived to destinations, some was on vessels. And I did not have a way to track these shipments. I had to call the IT to put the server back and then we started searching for these shipments in order to pay this – to release it, to pay the ship line to release the shipment to the clients. It's their goods, their cars, and they're not (inaudible). I had to come up with the money.

[WASHINGTON MOVERS' COUNSEL]: Well, how did you do that?

[NORMA GHANEM]: My life insurance money and my kids' tuition money and then I sold some gold. I borrow money from family.

Nov. 9, 2016, Hrng T'script at 12:17-13:10.

There is no evidence in the record indicating that despite the seizure of records and money, Washington Movers failed to deliver any of the shipments that were in transit when Sam Ghanem was arrested and Washington Movers' business records and financial accounts were seized. There is no evidence in the record indicating that Washington Movers ever failed to fulfill its OTI obligations to transport its customers' cargo either before or after the arrest of Sam Ghanem.

Shortly after Sam Ghanem's arrest, Washington Movers began steps to remove him from Washington Movers' business. On December 31, 2013, a Stock Transfer Agreement was signed pursuant to which Sam R. Ghanem, the sole shareholder of Washington Movers, transferred his entire ownership interest in Washington Movers to Norma Ghanem. On January 1, 2014, by Unanimous Written Consent in Lieu of Meeting of Directors, the Washington Movers Directors approved the transfer of shares from Sam R. Ghanem to Norma Ghanem, Sam R. Ghanem's resignation as an officer and director of Washington Movers, and Norma Ghanem's appointment as the sole officer (President, Secretary, and Treasurer) and director of Washington Movers. Washington Movers did not notify the Commission that Sam Ghanem had been arrested. FF 21. Washington Movers did not notify the Commission at any time prior to November 2, 2015, that Sam Ghanem transferred his entire ownership interest to Norma Ghanem, that Sam Ghanem no longer was an officer of Washington Movers, or that its QI no longer was an officer or director. FF 29-33.

On January 6, 2014, a federal grand jury indicted Sam Ghanem for attempting to smuggle weapons to Lebanon. Sam Ghanem went to trial and a jury rendered a verdict finding him guilty of Attempted Unlawful Export of Defense Articles in violation of 22 U.S.C. § 2778 and Smuggling of Goods from the United States in violation of 18 U.S.C. § 554. On August 14, 2015, a United States District Judge for the District of Maryland entered judgment finding Sam Ghanem guilty of two felonies: (1) Attempted Unlawful Export of Defense Articles in violation of 22 U.S.C. § 2778; and (2) Smuggling of Goods from the United States in violation of 18 U.S.C. § 554. The court sentenced him to a prison term of eighteen months. Washington Movers did not notify the Commission that Sam Ghanem had been indicted for a felony, that the jury found Sam Ghanem guilty, or that the court had entered judgment against Sam Ghanem and sentenced him to prison. FF 22-27.

Although Washington Movers claims that after January 1, 2014, Sam Ghanem no longer was affiliated with Washington Movers, it is clear from the evidence in the record that he continued to be involved in its operations. The Commonwealth of Virginia State Corporation Commission (SCC) prepares an annual report for a corporation based on information in SCC files and sends the report to the corporation to review, revise, and sign. As prepared by the SCC, Washington Movers' 2014 Annual Report identified Sam Ghanem as an officer and director and as its registered agent. On June 10, 2014, Sam Ghanem signed the report without change. FF 36-41. Norma Ghanem signed the 2015 Annual Report, deleting Sam Ghanem as an officer and director, but still identifying him as its registered agent. FF 51-55.

Sam Ghanem also continued to be involved in Washington Movers' OTI business activities. Sam Ghanem was an authorized signer on four Washington Movers bank accounts after January 1, 2014. FF 57-62. In 2014 and 2015, Sam Ghanem signed service contracts and amendments with MSC, Turkon Container Transport and Shipping Inc., and United Arab Shipping Co. FF 64-68. On June 10, 2015, more than seventeen months after transferring the stock to Norma Ghanem and being removed as president, Sam Ghanem signed Washington Movers' federal tax returns for tax years 2013 and 2014. FF 71-72.⁵

The Commission first learned of Sam Ghanem's arrest on or about October 28, 2014, when the Commission's Bureau of Certification and Licensing (BCL) received a telephone inquiry from a special agent of the FBI requesting verification of the issuance of an OTI license to Washington Movers, Inc. FF 34-35. The Commission issued the order to show cause based on information learned in its subsequent investigation.

⁵ After his conviction, on September 14, 2015, Sam Ghanem wrote a letter to the court requesting extension of his surrender date from September 28, 2015, to October 8, 2015, "because my company is currently undergoing major changes, such as changing the ownership. Changing the management requires time to make the necessary changes prior to my departure." (BOE Ex. 5.) It is not clear whether Washington Movers is the company to which he referred.

III. PROCEDURAL BACKGROUND.

On October 8, 2015, the Commission issued the Order to Show Cause commencing this proceeding. The Order states:

From pre-sentencing documents filed with the District Court, it appears that [Sam] Ghanem used Washington Movers as his instrumentality to commit crimes involving unlawful smuggling of cargo and attempted export of firearms in foreign commerce. His felony convictions constitute violations of federal statutes related to carrying on the business of an OTI within the meaning of the Commission's licensing regulations, and reflect directly upon the licensee's continued fitness and character to conduct business as an OTI. Revocation is authorized on either ground. 46 C.F.R. § 515.16(a)(1) and (4).

It further appears that Washington Movers failed to notify the Commission of its corporate name change as required by Commission regulations, 46 C.F.R. § 515.18(a)(5), or the fact of Ghanem's arrest, indictment and subsequent felony convictions, as required by 46 C.F.R. § 515.12(d). Failure to notify the Commission of changes in this information is a violation of Commission regulations and constitutes additional grounds for revocation of an OTI license. 46 C.F.R. § 515.16(a)(1).

Washington Movers, FMC No. 15-10, Order at 4-5 (FMC Oct. 8, 2015) (Order to Show Cause). The Order directed Washington Movers:

[T]o show cause . . . why its OTI license . . . should not be revoked inasmuch as the felony convictions of its owner, President and QI, acting through the OTI business of Washington Movers, together with failure to report material changes in fact and failure to obtain prior approval for a change in corporate name, renders such licensee no longer qualified to render ocean transportation intermediary services.

Id. at 5.

Washington Movers responded with its argument that the Commission should not revoke its OTI license and included exhibits with its response. BOE replied to Washington Movers' response to the Order, arguing that the record was sufficiently developed to justify revoking Washington Movers' license. BOE also suggested:

[I]n the event that the Commission believes that the development of a more detailed factual record is required, BOE suggests that the proceeding be assigned to the Office of the Administrative Law Judge for hearing to determine resolution of designated issues, and issuance of appropriate orders to include cease and desist and revocation of Respondent's license. Such proceeding necessarily should include whether civil

penalties should be assessed for any violations of the Shipping Act or Commission regulations that may be found at hearing.

(Memorandum of Law of Bureau of Enforcement (filed November 17, 2015) at 16-17.)

On February 12, 2016, the Commission referred this matter to the Office of Administrative Law Judges.

This proceeding is limited to revocation because the order to show cause did not give Washington Movers notice that civil penalties were a possibility. If BOE believes that civil penalties or other affirmative action is warranted in addition to revocation, it may seek an Order of Investigation and Hearing under 46 C.F.R. § 502.63.

Washington Movers, FMC No. 15-10, Order at 10 (FMC Feb. 12, 2016) (Order Regarding Preliminary Issues).

On February 18, 2016, the undersigned issued an order requiring that:

[E]ach party serve and file with the Secretary a statement identifying what further submissions the party believes are necessary to complete the record upon which an initial decision can be made. Each party must state what other paper discovery and what depositions it believes are necessary, if any. Each party must also state whether it believes that an evidentiary hearing is warranted, and if so, the factual issues that must be resolved in an evidentiary hearing. If a party believes that an evidentiary hearing will [be] necessary, the party must provide a preliminary witness list including the name, address, and telephone number of each person expected to testify and a summary of the expected testimony.

Washington Movers, FMC No. 15-10 (ALJ Feb. 18, 2016) (Initial Order). The parties were ordered to appear in the Commission hearing room for a status conference that was held on March 23, 2016.

Prior to the hearing, the parties filed additional documents. All documents filed to that date were reviewed during the hearing and admitted into evidence. The undersigned discussed preliminary findings of fact based on the evidence and argument submitted prior to the hearing with the parties. After the March 23 hearing, these preliminary findings of fact and a list of the exhibits admitted into evidence were served on the parties. *Washington Movers*, FMC No. 15-10 (ALJ Mar. 25, 2016) (Exhibits and Preliminary Findings of Fact). At the hearing, the parties agreed to shorten the 150 days provided in the rules for discovery and complete discovery by June 30, 2016. *Washington Movers*, FMC No. 15-10 (ALJ Mar. 25, 2016) (Discovery Schedule).

BOE served discovery on Washington Movers to which Washington Movers responded. On June 13, 2016, BOE filed a Motion for a Determination of the Insufficiency of Request for Admission Responses and to Compel Response to Interrogatories and Requests for Production

Directed to Washington Movers, Inc. (Motion to Compel). On June 23, 2016, Washington Movers filed a Certificate of Service with “supplemental production of documents in response to [BOE’s] requests for the production of documents” and some additional documents. On July 14, 2016, Washington Movers filed a Motion for Leave to Respond to the Bureau of Enforcement’s Motion for a Determination of the Insufficiency of Request for Admission Responses and to Compel Response to Interrogatories and Requests for Production Directed to Washington Movers, Inc. (Motion for Leave to Respond). It attached a response to the motion to compel and additional documents responsive to the discovery requests to the motion for leave to file. The motion for leave to respond was granted over BOE’s objection. BOE’s motion to compel was granted in part and Washington Movers was ordered to produce additional responses. BOE was ordered to produce copies of Washington Movers’ service contracts that had been filed with the Commission. *Washington Movers*, FMC No. 15-10 (ALJ Sept. 12, 2016) (Partial Ruling on BOE’s Discovery Motion Filed June 13, 2016, and Order to Supplement the Record). With the exception of Washington Movers’ 2013 federal tax return, the parties had filed the supplements before October 19, 2016.

On September 12, 2016, the undersigned served a document designating additional exhibits entered into the record and altering some of the preliminary findings of fact based on additional exhibits and responses of the parties. *Washington Movers*, FMC No. 15-10 (ALJ Sept. 12, 2016) (Changes to Preliminary Findings of Fact, Identification of Second Set of Exhibits, and Second Set of Preliminary Findings of Fact). A second order was issued on that date requiring Washington Movers to respond to questions about its activities for the period after January 1, 2014, and submit additional documents. *Washington Movers*, FMC No. 15-10 (ALJ Sept. 12, 2016) (Order for Washington Movers to Supplement the Record).

In a telephone conference on October 13, 2016, neither party objected to the additional exhibits or to the findings. Therefore, they were adopted as findings of fact for this proceeding. *Washington Movers*, FMC No. 15-10 (ALJ Oct. 19, 2016) (Findings of Fact – October 19, 2016). The additional documents provided by the parties were admitted as evidence. *See Washington Movers*, FMC No. 15-10 (ALJ Oct. 19, 2016) (List of Exhibits – October 19, 2016).

On November 9, 2016, at the request of Washington Movers, an oral hearing was held at which Norma Ghanem testified under oath and was subject to cross-examination by BOE. At the request of the undersigned, Washington Movers had filed a request with the Internal Revenue Service for a copy of Washington Movers’ 2013 federal tax return with signature. At the November 9 oral hearing, Washington Movers stated that it had not yet received the return. In response to an inquiry from the undersigned, BOE requested that a briefing schedule not be set until Washington Movers received and filed the 2013 tax document. Therefore, no briefing schedule was set at that time.

At the request of the undersigned, the parties appeared for telephone conferences on February 2, 2017, and March 9, 2017, to discuss the status of Washington Movers’ request for the 2013 tax document. Upon learning that Washington Mover still had not received the tax document,

at each conference, BOE requested that the setting of a briefing schedule be deferred. The requests were granted.

The parties appeared for another telephone conference on April 5, 2017, to discuss the status of Washington Movers' request for the 2013 tax document. Washington Movers submitted signed copies of its 2013 and 2014 Form 1120 U.S. Corporation Income Tax Returns that were admitted into evidence. The undersigned established a briefing schedule. The parties have presented written argument on the merits, and this proceeding is ripe for decision.

IV. REGULATORY FRAMEWORK.

The Shipping Act creates two types of OTIs. *See* 46 U.S.C. § 40102(19) ("Ocean transportation intermediary. – The term 'ocean transportation intermediary means an ocean freight forwarder or a non-vessel-operating common carrier.'). "The term 'non-vessel-operating common carrier' means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier." 46 U.S.C. § 40102(16). "The term 'ocean freight forwarder' means a person that – (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments." 46 U.S.C. § 40102(18).

The Act requires an entity wanting to operate in the United States as an OTI to obtain a license from the Commission. 46 U.S.C. §§ 40901-40904. "The Commission shall issue a license to [an applicant] that the Commission determines to be qualified by experience and character to act as an ocean transportation intermediary." 46 U.S.C. § 40901(a). The Commission licensed Washington Movers as an NVOCC and as an ocean freight forwarder. FF 4.

The Act further provides that once the Commission issues an OTI license to an entity, the license can only be revoked for cause after notice and a hearing. "The . . . Commission, after notice and opportunity for a hearing, shall suspend or revoke an [OTI's] license if the Commission finds that the [OTI] – (1) is not qualified to provide intermediary services; or (2) willfully failed to comply with a provision of this part or with an order or regulation of the Commission." 46 U.S.C. § 40903(a).

The Commission has promulgated regulations that govern OTI activities. 46 C.F.R. Part 515. The Commission cited Washington Movers' alleged violation of 46 C.F.R. § 515.16(a)(1) and (4) as grounds for revocation. *Washington Movers*, Order at 2, FMC No. 15-10 (FMC Oct. 8, 2015) (Order to Show Cause). At the time Washington Movers committed the alleged violations that resulted in the Order to Show Cause commencing this proceeding, the provision governing revocation and suspension provided:

Grounds for revocation. Except for the automatic revocation for termination of proof of financial responsibility under § 515.26, or as provided in § 515.25(b), a license

may be revoked or suspended after notice and an opportunity for a hearing for any of the following reasons: (1) Violation of any provision of the Act, or any other statute or Commission order or regulation related to carrying on the business of an ocean transportation intermediary; . . . (4) Where the Commission determines that the licensee is not qualified to render intermediary services.

46 C.F.R. § 515.16(a) (2015).⁶

The Order to Show Cause states that “[i]t further appears that Washington Movers failed to notify the Commission of its corporate name change as required by Commission regulations, 46 C.F.R. § 515.18(a)(5), or the fact of [Sam] Ghanem’s arrest, indictment and subsequent felony convictions, as required by 46 C.F.R. § 515.12(d).” *Washington Movers*, Order at 4, FMC No. 15-10 (FMC Oct. 8, 2015) (Order to Show Cause). Section 515.12(d) provided: “*Changes in fact.* Each applicant and each licensee shall submit to the Commission, in duplicate, an amended Form FMC-18 Rev. advising of any changes in the facts submitted in the original application, within thirty (30) days after such change(s) occur.” 46 C.F.R. § 515.12(d) (2015). Section 515.18(a) provided:

The following changes in an existing licensee’s organization require prior approval of the Commission, and application for such status change or license transfer shall be made on Form FMC-18 Rev., filed in duplicate with the Commission’s Bureau of Certification and Licensing, and accompanied by the fee required under § 515.5(b)(2): . . . (5) Any change in a licensee’s name.

46 C.F.R. § 515.18(a) (2015).

Under the Administrative Procedure Act (APA), an administrative law judge may not issue an order “except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence.” 5 U.S.C. § 556(d). *See also Steadman v. SEC*, 450 U.S. 91, 102 (1981). This initial decision is based on the Order to Show Cause, Washington Movers’ response to the Order, the parties’ memoranda, the exhibits filed with the memoranda, and the supplemental evidence and memoranda filed by the parties.

As the proponent of the Order, the Commission, in this case, via BOE, has the burden of proof. 5 U.S.C. § 556(d). The term “burden of proof” as used in the [APA] has been construed to mean burden of persuasion. *Director, Office of Workers’ Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The

⁶ On November 5, 2015, the Commission amended part 515, including each of the sections cited by the Order to Show Cause. *Ocean Transportation Intermediary Licensing and Financial Responsibility Requirements, and General Duties; Final Rule*, 80 Fed. Reg. 68722 (Nov. 5, 2015), effective December 9, 2015. *See* 46 C.F.R. Part 515 (2016). The regulations in effect when Washington Movers allegedly violated the regulations are applied in this proceeding.

Court in *Greenwich Collieries* stated that “when the party with the burden of persuasion establishes a *prima facie* case supported by ‘credible and credited evidence,’ it must either be rebutted or accepted as true.” *Id.* at 280. The party having control of information bearing upon a disputed issue may be assigned the burden of bringing it forward or suffer an adverse inference for its failure to respond; the ultimate burden of proof or persuasion, however, does not shift. In this proceeding, BOE bears the burden of proof.

Revocation of Ocean Transportation Intermediary License No. 022025 – Cargologic USA LLC, FMC No. 14-01, Order at 5-6 (FMC Aug. 28, 2014) (Order Revoking Ocean Transportation Intermediary License).

V. EXHIBITS.

A. Exhibits Admitted as of October 19, 2016.

At the in-person status conference on March 23, 2016, the undersigned reviewed and assigned exhibit numbers to the documentary evidence submitted as of that date. On March 25, 2016, the undersigned served a document entitled Exhibits and Preliminary Findings of Fact. *Washington Movers*, FMC No. 15-10 (ALJ Mar. 25, 2016) (Exhibits and Preliminary Findings of Fact). On September 12, 2016, the undersigned served a document setting forth a list of additional exhibits. *Washington Movers*, FMC No. 15-10 (ALJ Sept. 12, 2016) (Changes to Preliminary Findings of Fact, Identification of Second Set of Exhibits, and Second Set of Preliminary Findings of Fact). On October 19, 2016, the undersigned served a list of exhibits admitted as of that date. *Washington Movers*, FMC No. 15-10 (ALJ Oct. 19, 2016) (List of Exhibits – October 19, 2016). The exhibits admitted as of October 19, 2016, were consolidated for use by the witness at the November 9 hearing and were included in the Commission’s electronic docket on November 10, 2016.

BUREAU OF ENFORCEMENT EXHIBITS

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| BOE Ex. 1 | <i>United States v. Sam Rafic Ghanem</i> , Case No. 13-3043 CBD (D. Md. Dec. 23, 2013) (Criminal Complaint) |
| BOE Ex. 2 | <i>United States v. Sam Rafic Ghanem</i> , RWT 8:14-CR-0008-001 (D. Md. Aug. 12, 2015) (Judgment in a Criminal Case) |
| BOE Ex. 3 | Dock receipt, vehicle title, MSC booking receipt, MSC booking confirmation, and Seagirt Marine interchange and pickup receipts |
| BOE Ex. 4 | 2014 Commonwealth of Virginia State Corporation Commission Annual Report for Washington Movers International, Inc. |

- BOE Ex. 5 *United States v. Sam Rafic Ghanem*, RWT 8:14-CR-0008-001 (D. Md. Sept. 17, 2015) (Opposed Motion to Extend the Date for Voluntary Surrender with letter)
- BOE Ex. 6 Commonwealth of Virginia State Corporation Commission Certificate of Fact regarding name change from Washington Movers, Inc. to Washington Movers International, Inc.
- BOE Ex. 7 Maryland Department of Assessments and Taxation Business Services Notice of name change from Washington Movers, Inc. to Washington Movers International, Inc. with attachments
- BOE Ex. 8 November 17, 2015, Verified Statement of Sandra L. Kusumoto
- BOE Ex. 9 Washington Movers' 2015 Annual Report to the Commonwealth of Virginia State Corporation Commission (file stamped February 16, 2016)
- BOE Ex. 10 Email thread dated April 1-7, 2014, among Sam Ghanem, Sandra Rodriguez, and representatives of Turkon America, Inc.
- BOE Ex. 11 Turkon Container Transport and Shipping Inc. service contract No. 2014-667 effective April 7, 2014
- BOE Ex. 12 United Arab Shipping Co. service contract 2013 0000252641-4 Amendment 4 with Washington Movers, Inc., signed April 28, 2014 with email from United Arab Shipping Co. Representative to Sandra Rodriguez dated April 28, 2014
- BOE Ex. 13 Email correspondence between July 8, 2014 and October 22, 2014, among Sam Ghanem (sam@wmius.com) and Washington Movers representatives and representatives of Mediterranean Shipping Company
- BOE Ex. 14 Mediterranean Shipping Company service contract 14-425WW with Washington Movers, Inc. effective August 2, 2014, through August 1, 2015
- BOE Ex. 15 Mediterranean Shipping Company service contract 14-425WW Amendment 1 with Washington Movers, Inc.
- BOE Ex. 16 Mediterranean Shipping Company service contract 15-107OTE with Washington Movers, Inc. effective August 2, 2015, through August 1, 2016
- BOE Ex. 17 Mediterranean Shipping Company service contract 15-107OTE Amendment 1 with Washington Movers, Inc.

- BOE Ex. 18 Certificate of Service for Bureau of Enforcement's First Requests for Admission Directed to Washington Movers, Inc. (served April 13, 2016)
- BOE Ex. 19 Certificate of Service for Bureau of Enforcement's First Interrogatories and Requests for Production of Documents Directed to Washington Movers, Inc. (served April 13, 2016)
- BOE Ex. 20 Washington Movers International, Inc.'s Objections and Responses to the Bureau of Enforcement's Requests for Admissions Nos. 1-52
- BOE Ex. 21 Washington Movers International, Inc.'s Objections and Responses to the Bureau of Enforcement's Requests for the Production of Documents Nos. 1-16
- BOE Ex. 22 Washington Movers International, Inc.'s Objections and Answers to the Bureau of Enforcement's Interrogatories Nos. 1-26
- BOE Ex. 23 Bureau of Enforcement's First Interrogatories and Requests for Production of Documents Directed to Washington Movers, Inc.
- BOE Ex. 24 Computer disk with electronic copies of documents
- BOE Ex. 25 List of Contents of CD Containing Documents in Response to the Bureau of Enforcement's Request for Production of Documents
- BOE Ex. 26 Mediterranean Shipping Company service contract 14-425WW (first and signature pages)
- BOE Ex. 27 Mediterranean Shipping Company service contract 14-425WW, AMN 1 (signature page)
- BOE Ex. 28 Mediterranean Shipping Company service contract 15-107OTE (first and signature pages)
- BOE Ex. 29 Mediterranean Shipping Company service contract 15-107OTE, Amendment 1 (signature page)
- BOE Ex. 30 Turkon Container Transport and Shipping Inc. service contract No. 2014-667 (signature page)
- BOE Ex. 31 United Arab Shipping Co. service contract 2013 0000252641 Amendment 4 (signature page)

WASHINGTON MOVERS, INC. EXHIBITS

WM Ex. A	12/31/13 Stock Transfer Agreement
WM Ex. B	01/01/14 Directors' consent to transfer shares
WM Ex. C	Washington Movers International Business entity Details
WM Ex. D	2015 Commonwealth of Virginia State Corporation Commission Annual Report for Washington Movers International, Inc. supplemented by instructions from identical exhibit submitted as Ex. 3 to Washington Movers response to Initial Order
WM Ex. E	Electronic Federal Tax Payment System Information – February 24, 2016
WM Ex. F	Acord Corp. Certificate of Liability Insurance for 10/13/15 to 10/13/16 for Washington Movers Norma Ghanem International Inc., dated Feb. 26, 2016
WM Ex. G	Commonwealth of Virginia State Corporation Commission Statement of Change of Registered Office and/or Registered Agent Change dated November 20, 2015
WM Ex. H	Washington Stock Transfer Agreement, Washington Movers Unanimous Written Consent in Lieu of Meeting of Directors, Document containing Metadata Information
WM Ex. I	Letter dated March 23, 2016, from Industrial Bank stating that Norma Ghanem is the only authorized signer on the Washington Movers business checking account
WM Ex. J	Industrial Bank Business Account Signature Card for Washington Movers, Inc. small business checking account signed by Norma Ghanem dated March 23, 2016, indicating account opened November 12, 2014, and Norma Ghanem is the authorized signer for the account
WM Ex. K	Washington Movers, Inc., corporate authorization resolution signed by Norma Ghanem dated March 23, 2016, for Industrial Bank checking account stating that Norma Ghanem/Owner is authorized to exercise powers over the account for Washington Movers
WM Ex. L	Industrial Bank Business Account Signature Card for Washington Movers, Inc. small business checking account signed by Sam Ghanem dated August 14, 2015, indicating account opened November 12, 2014, adding a signer and stating that Sam Ghanem and Norma Ghanem are the authorized signers for the account
WM Ex. M	Washington Movers, Inc., corporate authorization resolution signed by Sam Ghanem and Norma Ghanem dated August 14, 2015, for Industrial Bank checking account

stating that Sam Ghanem/President and Norma Ghanem/Vice President are authorized to exercise powers over the account for Washington Movers

- WM Ex. N 2014 Maryland Combined Registration Form Application for Washington Movers, Inc., dated November 4, 2015
- WM Ex. O Acord Corp. Certificate of Liability Insurance for 06/01/13 to 06/01/14 for Washington Movers Inc. Sam Ghanem, dated April 7, 2016 and Acord Corp. Certificate of Liability Insurance for 09/12/14 to 09/12/15 for Washington Movers International Inc. Norma Ghanem, dated April 7, 2016
- WM Ex. P 2015 Form W-2 Wage and Tax Statement issued by Washington Movers, Inc., to Norma Ghanem
- WM Ex. Q 2015 Form W-3 Transmittal of Wage and Tax Statement for Washington Movers, Inc.
- WM Ex. R 2014 1099-MISC Miscellaneous Income Form issued by Washington Movers, Inc., for Sandra Rodriguez
- WM Ex. S Redacted United States Department of Justice Federal Bureau of Investigation Form FD-597 Receipt for Property Received/Returned/Released/Seized Identifying Items Seized from Sam Ghanem, Dated December 21, 2013
- WM Ex. T Industrial Bank Business Account Signature Card for Washington Movers, Inc. small business checking account dated November 12, 2014, indicating account opened November 12, 2014, adding a signer and stating that Sam Ghanem is the authorized signer for the account
- WM Ex. U Washington Movers, Inc., corporate authorization resolution signed by Sam R. Ghanem dated November 10, 2014, for Industrial Bank checking account stating that Sam R. Ghanem is authorized to exercise powers over the account for Washington Movers
- WM Ex. V Screen shot of BB&T record of Washington Movers account open between May 2011 and February 2014 on which Sam Ghanem and Norma Ghanem were authorized signers
- WM Ex. W Checking summary of Washington Movers International, Inc., account at PNC Bank open from October 2014 to November 2014 on which Sam Ghanem was the authorized signer

B. Additional exhibits, April 6, 2017.

On April 6, 2017, the undersigned served a list of additional admitted exhibits. *Washington Movers*, FMC No. 15-10 (ALJ Apr. 6, 2017) (Notice of Filing – List of Additional Exhibits – April 6, 2017) (exhibits admitted April 5, 2017).

WASHINGTON MOVERS, INC. EXHIBITS

WM Ex. X Washington Movers Inc. Form 1120 U.S. Corporation Income Tax Return for 2013

WM Ex. Y Washington Movers Inc. Form 1120 U.S. Corporation Income Tax Return for 2014

C. Exhibits Submitted with Briefs on the Merits.

BOE submitted additional exhibits with its brief on the merits. These exhibits are admitted as part of the record.

BUREAU OF ENFORCEMENT EXHIBITS

BOE Ex. 32 Mediterranean Shipping Company service contract 13-306WW (four pages) and Amendment (four pages)

BOE Ex. 33 U.S. Bureau of Prisons “Find an inmate” page for Sam Ghanem

BOE Ex. 34 Table comparing relevant 46 C.F.R. Part 515 regulations before and after amendments effective December 9, 2015

BOE Ex. 35 Table describing effect of December 9, 2015, amendments to 46 C.F.R. Part 515

BOE Ex. 36 Washington Movers, Inc., FMC Form-18 Application for a License as an Ocean Transportation Intermediary dated February 12, 2003, pages viii, ix, xii, and xiv

Washington Movers did not submit any new exhibits with its brief.

VI. FINDINGS OF FACT.

A. Findings of Fact – October 19, 2016.

At the in-person status conference on March 23, 2016, the undersigned reviewed what were described as preliminary findings of fact based on the record as of that date. On March 25, 2016, the undersigned served a document entitled Exhibits and Preliminary Findings of Fact. The parties were invited to respond with any objections to the preliminary findings stating why and identifying any evidence on which their disagreement was based. *Washington Movers*, FMC No. 15-10 (ALJ

Mar. 25, 2016) (Exhibits and Preliminary Findings of Fact). On September 12, 2016, based on the party's responses to the preliminary findings and additional exhibits filed by the parties, the undersigned served a document setting forth revisions to the first set of findings and a second set of preliminary findings. The parties were again invited to respond with any objections to the preliminary findings. *Washington Movers*, FMC No. 15-10 (ALJ Sept. 12, 2016) (Changes to Preliminary Findings of Fact, Identification of Second Set of Exhibits, and Second Set of Preliminary Findings of Fact). In the telephone conference on October 13, 2016, neither party objected to these findings. Therefore, on October 19, 2016, they were issued as findings of fact for this proceeding and are incorporated below. *Washington Movers*, FMC No. 15-10 (ALJ Oct. 19, 2016) (Findings of Fact – October 19, 2016).

1. Respondent Washington Movers, Inc. (Washington Movers) is a Virginia corporation incorporated July 11, 1996. (BOE Ex. 7.)
2. Sam R. Ghanem (Sam Ghanem) was owner and president of Washington Movers at the time of its incorporation. (Stipulated at March 23, 2016, hearing.)
3. Since July 6, 2005, Washington Movers is qualified to do business as a foreign corporation in the State of Maryland. (BOE Ex. 7.)
4. Washington Movers has been licensed by the Federal Maritime Commission (FMC) to operate as an ocean transportation intermediary (OTI) since April 8, 2003 (ocean freight forwarder) and June 29, 2005 (non-vessel-operating common carrier). (BOE Ex. 8 ¶ 6.)
5. When Washington Movers submitted its application to become licensed as an OTI, it told the FMC's Bureau of Certification and Licensing (BCL) that it maintains its principal offices at 7913 Cryden Way, Forestville, MD 20147. (BOE Ex. 8 ¶ 4.)⁷
6. In its application for an OTI license, Washington Movers identified Sam Ghanem as the principal of the firm and its sole owner and President. (BOE Ex. 8 ¶ 5.)
7. In its application for an OTI license, Washington Movers identified Sam Ghanem as Washington Movers's Qualifying Individual. (BOE Ex. 8 ¶ 5.)
8. Sam Ghanem has been the only Qualifying Individual for Washington Movers approved by the FMC. (Stipulated at March 23, 2016, hearing.)

⁷ BOE states "that with regard to the ALJ's Finding of Fact #5, records maintained by the Commission's Bureau of Certification and Licensing (BCL) now reflect 505 Hampton Park Blvd., Suite O, Capitol Heights, MD, 20743 as the principal address for Respondent." (BOE Proposed Findings of Fact at 1 n.2.)

9. Washington Movers, Inc. changed its name to Washington Movers International, Inc., effective November 7, 2008. (BOE Ex. 7.)
10. On July 11, 2013, Washington Movers filed its name change with the Department of Assessments and Taxation for the State of Maryland. (BOE Ex. 7.)
11. Washington Movers did not notify the FMC that it had changed its name. (BOE Ex. 8 ¶ 13.)
12. Washington Movers did not file a revised bond with the FMC reflecting its amended corporate name. (Stipulated at March 23, 2016, hearing.)
13. On December 21, 2013, at the Washington Movers facility, Sam Ghanem and Washington Mover employees concealed weapons in the doors and cut-up parts of salvaged motor vehicles and loaded the vehicles into a shipping container. (BOE Ex. 1 ¶ 19.)
14. A dock receipt was created identifying “Washington Mover Inc.” [*sic*] as the exporter of the container with the salvaged motor vehicle and parts. (BOE Ex. 3.)
15. Mediterranean Shipping Company (MSC) issued a booking receipt identifying “Washington Movers” as the shipper of the container with the salvaged motor vehicle and parts. (BOE Ex. 3.)
16. MSC issued a booking confirmation identifying “Washington Movers” “Contact: Sandra” as the shipper of the salvaged motor vehicle and parts. (BOE Ex. 3.)
17. MSC took the booking on December 19, 2013. (BOE Ex. 3.)
18. The Booking Confirmation indicates the shipment was being transported pursuant to Service Contract number 13-306WW. (BOE Ex. 3.)
19. After the [container was]⁸ loaded, law enforcement agents arrested Sam Ghanem. (BOE Ex. 1 ¶ 21.)
20. During his Mirandized post-arrest statement, Sam Ghanem admitted to unlawfully concealing the weapons in the shipping container and admitted that his intended shipment of the concealed weapons overseas would have been a violation of export laws and restrictions. (BOE Ex. 1 ¶ 21.)
21. Washington Movers did not notify the FMC that Sam Ghanem had been arrested. (BOE Ex. 8 ¶ 15.)

⁸ Number corrected in Initial Decision to reflect that there was one container.

22. [Vacated based on additional evidence received. *See* FF 72.]
23. Washington Movers did not notify the FMC that Sam Ghanem had been indicted for a felony. (BOE Ex. 8 ¶ 15.)
24. A jury rendered a verdict finding Sam Ghanem guilty of Attempted Unlawful Export of Defense Articles in violation of 22 U.S.C. § 2778 and Smuggling of Goods from the United States in violation of 18 U.S.C. § 554. (BOE Ex. 2.)
25. Washington Movers did not notify the FMC that the jury found Sam Ghanem guilty. (BOE Ex. 8 ¶ 15.)
26. On August 14, 2015, a United States District Judge for the District of Maryland entered judgment finding Sam Ghanem guilty of two felonies: (1) Attempted Unlawful Export of Defense Articles in violation of 22 U.S.C. § 2778; and (2) Smuggling of Goods from the United States in violation of 18 U.S.C. § 554. The court sentenced him to a prison term of eighteen months. (BOE Ex. 2.)
27. Washington Movers did not notify the FMC that the court had entered Judgment in a Criminal Case against Sam Ghanem. (BOE Ex. 8 ¶ 15.)
28. On November 2, 2015, Washington Movers filed a Reply to the Order to Show Cause. (Official notice of Commission records.)
29. Washington Movers attached a Stock Transfer Agreement to its November 2, 2015, Reply stating that for a payment of \$100, on December 31, 2013, Sam R. Ghanem, the sole shareholder of Washington Movers, transferred his entire ownership interest in Washington Movers to Norma Ghanem. (WM Ex. A.)
30. Washington Movers did not notify the FMC at any time prior to November 2, 2015, that Sam Ghanem transferred his entire ownership interest in Washington Movers to Norma Ghanem. (BOE Ex. 8 ¶ 17.)
31. Washington Movers attached a Unanimous Written Consent in Lieu of Meeting of Directors to its November 2, 2015, Reply stating that on January 1, 2014, the Directors approved the transfer of shares from Sam R. Ghanem to Norma Ghanem, that Sam R. Ghanem resigned as an officer and director of Washington Movers, and that Norma Ghanem is appointed as the sole officer (President, Secretary, and Treasurer) and director of Washington Movers. (WM Ex. B.)
32. Washington Movers did not notify the FMC at any time prior to November 2, 2015, that the Directors of Washington Movers approved the transfer of shares from Sam R. Ghanem to Norma Ghanem, that Sam R. Ghanem resigned as an officer and director of Washington

Movers, and that Norma Ghanem is appointed as the sole officer (President, Secretary, and Treasurer) and director of Washington Movers. (BOE Ex. 8 ¶ 17.)

33. Washington Movers did not notify the FMC that its Qualifying Individual was no longer an officer or director. (BOE Ex. 8 ¶ 18.)
34. On or about October 28, 2014, the BCL received a telephone inquiry from a special agent of the FBI requesting verification of the issuance of an OTI license to Washington Movers, Inc. (BOE Ex. 8 ¶ 8.)
35. The October 28, 2014, FBI inquiry was the FMC's first notice that Sam Ghanem had been arrested in December 2013. (Stipulated at March 23, 2016, hearing.)
36. The Commonwealth of Virginia State Corporation Commission (SCC) prepares an annual report for a corporation based on information in its files and sends the report to the corporation to review, revise, and sign. (WM Ex. D (Annual Report Instructions).)
37. "The information set forth in the left-hand box [of Section 7 of the report] reflects the information currently on file with the [State Corporation] Commission" at the time the annual report is prepared. (WM Ex. D (Annual Report Instructions).)
38. The 2014 Annual Report prepared for Washington Movers by the SCC indicates that at the time the report was prepared prior to June 10, 2014, information on file with the SCC identified Norma Ghanem as an officer and director and Sajih Ghanem, Hanan Halabi, and Sandra Rodriguez as officers of Washington Movers. (BOE Ex. 4.)
39. On June 10, 2014, Sam Ghanem signed the 2014 Annual Report for Washington Movers International, Inc., affirming that the information contained in the report is accurate and complete as of that date. (BOE Ex. 4.)
40. Washington Movers submitted the 2014 Annual Report signed by Sam Ghanem to the Commonwealth of Virginia State Corporation Commission. (BOE Ex. 4.)
41. The 2014 Annual Report identifies Sam R. Ghanem as Washington Movers's registered agent. (BOE Ex. 4.)
42. The 2014 Annual Report identifies Sam Ghanem as an officer and director of Washington Movers and as Washington Movers's "P/T." (BOE Ex. 4.)
43. The 2014 Annual Report deletes Sajih Ghanem as an officer of Washington Movers. (BOE Ex. 4.)

44. Washington Movers did not notify the FMC that Sajih Ghanem had become an officer of Washington Movers or was no longer an officer of Washington Movers. (Stipulated at March 23, 2016, hearing.)
45. The 2014 Annual Report identifies Norma Ghanem as an officer and director of Washington Movers. (BOE Ex. 4.)
46. [DELETED – WAS IDENTICAL TO FF 44]
47. The 2014 Annual Report deletes Hanan Halabi as an officer of Washington Movers. (BOE Ex. 4.)
48. Washington Movers did not notify the FMC that Hanan Halabi had become an officer of Washington Movers or was no longer an officer of Washington Movers. (Stipulated at March 23, 2016, hearing.)
49. The 2014 Annual Report identifies Sandra Rodriguez as an officer of Washington Movers. (BOE Ex. 4.)
50. Washington Movers did not notify the FMC that Sandra Rodriguez had become an officer of Washington Movers. (Stipulated at March 23, 2016, hearing.)
51. On November 20, 2015, Norma Ghanem signed the 2015 Annual Report for Washington Movers International, Inc., affirming that the information contained in the report is accurate and complete as of that date. (WM Ex. D.)
52. On February 16, 2016, Washington Movers submitted the 2015 Annual Report to the Commonwealth of Virginia State Corporation Commission. (WM Ex. D; BOE Ex. 9.)
53. The 2015 Annual Report identifies Sam R. Ghanem as Washington Movers's registered agent. (WM Ex. D.)
54. The 2015 Annual Report deletes Sam Ghanem as an officer and director of Washington Movers and as Washington Movers's "P/T." (WM Ex. D.)
55. Sam R. Ghanem remained as Washington Movers's registered agent with the Commonwealth of Virginia until November 20, 2015. (WM Ex. D; WM Ex. G.)
56. On September 14, 2015, Sam Ghanem⁹ wrote a letter to the district court requesting extension of his surrender date from September 28, 2015, to October 8, 2015, "because my company is currently undergoing major changes, such as changing the ownership. Changing

⁹ Spelling corrected.

the management requires time to make the necessary changes prior to my departure. I need more time to properly train my new partner with our new software system, introducing him to all our major clients, and adding him to our bank accounts, vendor accounts, etc. and assist with the hiring process of new personnel. I feel that two weeks will not be suffice [sic] [sufficient] time to complete all the necessary training that needs to be done. Another major reason is that my office assistant/office manager, Sandra Rodriguez, will be traveling out of the country as of September 26, 2015 to October 4, 2015 for family reasons. Her absence is making it impossible to turn myself in on September 28th since she will not be present the first week that I will be gone to train the new staff. Please find attached proof for statements mentioned above.” (BOE Ex. 5.)

57. Sam Ghanem was an authorized signer on a Washington Movers, Inc., bank account with BB&T Bank from May 2011 to February 2014. (Respondent’s Supplemental Responses to the Bureau of Enforcement’s Discovery Requests at 3.)
58. Sam Ghanem was the only authorized signer on a Washington Movers, Inc., bank account with SunTrust Bank from February 2014 to October 2014. (Respondent’s Supplemental Responses to the Bureau of Enforcement’s Discovery Requests at 3.)
59. Sam Ghanem was the only authorized signer on a Washington Movers, Inc., bank account with PNC Bank from October 2014 to November 2014. (Respondent’s Supplemental Responses to the Bureau of Enforcement’s Discovery Requests (filed August 9, 2016) at 3.)
60. On November 12, 2014, Sam Ghanem opened a business checking account for Washington Movers, Inc., at Industrial Bank for which Sam Ghanem was the only authorized signer. (WM Ex. T, U.)
61. On August 14, 2015, Norma Ghanem was added to Washington Movers, Inc.’s Industrial Bank account as an authorized signature and Sam Ghanem remained on the account as a signer. (WM Ex. L, M.)
62. On March 23, 2016, Sam Ghanem was deleted as an authorized signature from Washington Movers’ Industrial Bank account. (WM Ex. J, K.)
63. As representative of Washington Movers, Inc., March or April 2014, Sam Ghanem signed Mediterranean Shipping Company service contract 14-425WW with Washington Movers, Inc. (BOE Ex. 14, 26.)
64. As representative of Washington Movers, Inc., in 2014, Sam Ghanem signed Mediterranean Shipping Company service contract 14-425WW, amendment 1, with Washington Movers, Inc. (BOE Ex. 15, 27.)

65. As representative of Washington Movers, Inc., in 2015, Sam Ghanem signed Mediterranean Shipping Company service contract 15-107OTE with Washington Movers, Inc. (BOE Ex. 16, 28.)
66. As representative of Washington Movers, Inc., in 2015, Sam Ghanem signed Mediterranean Shipping Company service contract 15-107OTE, amendment 1, with Washington Movers, Inc. (BOE Ex. 17, 29.)
67. As representative of Washington Movers, Inc., in April 2014, Sam Ghanem signed Turkon Container Transport and Shipping Inc service contract No. 2014-667 with Washington Movers, Inc. (BOE Ex. 11, 30.)
68. * As representative of Washington Movers, Inc., in April 2014, Sam Ghanem signed amendment 4 to United Arab Shipping Co. service contract 2013 0000252641 with Washington Movers, Inc. (BOE Ex. 12, 31.)
69. [Vacated based on additional evidence received. *See* BOEPFF 19-20.]¹⁰

B. BOE's Proposed Findings of Fact.

BOE submitted a list of forty additional proposed findings of fact with its brief. Washington Movers did not state any objection to the proposed findings and each proposed finding it supported by the documentary evidence to which it cites. Therefore, I adopt the following additional factual findings.

- BOEPFF 1. The documents in BOE Ex. 3 are true copies of documents issued for the shipment which served as the basis for Sam Ghanem's conviction identified in BOE Ex. 2. (BOE Ex. 20, Response No. 1 to BOE Request For Admission) [hereinafter Resp. No. #].
- BOEPFF 2. The individual identified as Sandra in BOE Ex. 3 is Sandra Rodriguez. (BOE Ex. 20, Resp. No. 2.)
- BOEPFF 3. Sandra Rodriguez was an employee of Washington Movers at the time of booking the shipment identified in BOE Ex. 3. (BOE Ex. 20, Resp. No. 3.)
- BOEPFF 4. Sandra Rodriguez booked the shipment identified in BOE Ex. 3 with Mediterranean Shipping Company (MSC). (BOE Ex. 20, Resp. No. 4.)
- BOEPFF 5. Sandra Rodriguez booked the shipment identified in BOE Ex. 3 on behalf of Washington Movers. (BOE Ex. 20, Resp. No. 5.)

¹⁰ "BOEPFF" refers to a finding of fact proposed by BOE and adopted by this decision.

- BOEPFF 6. MSC service contract no. 13-306ww was a service contract between MSC and Washington Movers in effect at the time of booking the shipment described in BOE Ex. 3. (BOE Ex. 20, Resp. No. 7; BOE Ex. 32.)
- BOEPFF 7. MSC service contract no. 13-306ww was signed by Sam Ghanem as President of Respondent. (BOE Ex. 20, Resp. No. 8.)
- BOEPFF 8. The documents in BOE Ex. 10 are true copies of email exchanges between Sam Ghanem and Sandra Rodriguez on behalf of Washington Movers in connection with the negotiation of a service contract with Turkon Container Transport and Shipping, Inc. (Turkon). (BOE Ex. 20, Resp. No. 13.)
- BOEPFF 9. The documents in BOE Ex. 13 are true copies of email transmissions between Respondent and MSC. (BOE Ex. 20, Resp. No. 20.)
- BOEPFF 10. Amendment 1 to MSC service contract no. 14-425ww was effective November 4, 2014. (BOE Ex. 20, Resp. No. 26.)
- BOEPFF 11. Amendment 1 to MSC service contract 15-107OTE was effective December 28, 2015. (BOE Ex. 20, Resp. No. 40.)
- BOEPFF 12. On or about October 8, 2015, Sam Ghanem commenced his 18 month term of incarceration described in BOE Ex. 2. (BOE Ex. 20, Resp. No. 43.)
- BOEPFF 13. Sam Ghanem continued to be employed by Respondent after January 1, 2014. (BOE Ex. 20, Resp. No. 44.)
- BOEPFF 14. Sam Ghanem continued to act on behalf of Respondent after January 1, 2014. (BOE Ex. 20, Resp. No. 45.)
- BOEPFF 15. Acting through its officers and employees, Respondent made oral and written representations to third parties that Sam Ghanem was authorized to act on its behalf after January 1, 2014. (BOE Ex. 20, Resp. No. 46.)
- BOEPFF 16. Respondent knew or had reason to know that Sam Ghanem continued to act on behalf of Respondent after January 1, 2014. (BOE Ex. 20, Resp. No. 47.)
- BOEPFF 17. Sam Ghanem signed one or more contracts on behalf of Respondent after January 1, 2014. (BOE Ex. 20, Resp. No. 48.)
- BOEPFF 18. Between January 1, 2014 and December 28, 2015, no person employed by Washington Movers other than Sam Ghanem signed a service contract on behalf of Respondent. (BOE Ex. 20, Resp. No. 49.)

- BOEPFF 19. Sam Ghanem signed Washington Movers' 2013 federal U.S. Corporate Tax Return as President of Washington Movers on June 10, 2015. (WM. Ex. X.)
- BOEPFF 20. Sam Ghanem signed Washington Movers' 2014 federal U.S. Corporate Tax Return as President of Washington Movers on June 10, 2015. (WM. Ex. Y.)
- BOEPFF 21. In becoming an authorized signatory for Washington Movers' business checking account with Industrial Bank on August 14, 2015, Norma Ghanem signed the certification as Secretary of Washington Movers' that was appended to the signature card. (Tr. of Nov. 9, 2016 Hearing, p. 42, line 16.)
- BOEPFF 22. In signing the certification appended to the signature card for Washington Movers' business checking account with Industrial Bank, Norma Ghanem represented to Industrial Bank that Sam Ghanem was President of the company on August 14, 2015. (WM. Ex. M.)
- BOEPFF 23. Between January 1 and February, 2014, Washington Movers used the BB&T bank account to transact its OTI business. (Washington Movers' Response to The Honorable Clay G. Guthridge's Order to Supplement Record, served September 28, 2016, Response No. 1a) [hereinafter WM Sept. 28 Supplement].
- BOEPFF 24. Sam Ghanem signed checks for Washington Movers drawn on the BB&T bank account after January 1, 2014. (WM Sept. 28 Supplement, Response No. 1b.)
- BOEPFF 25. Between February and October, 2014, Washington Movers used the Sun Trust bank account to transact its OTI business (WM Sept. 28 Supplement, Response No. 2a.)
- BOEPFF 26. Sam Ghanem signed checks for Washington Movers drawn on the Sun Trust bank account in 2014. (WM Sept. 28 Supplement, Response No. 2b.)
- BOEPFF 27. Between October and November, 2014, Washington Movers used the PNC bank account to transact its OTI business. (WM Sept. 28 Supplement, Response No. 3a.)
- BOEPFF 28. Sam Ghanem signed checks for Washington Movers drawn on the PNC bank account. (WM Sept. 28 Supplement, Response No. 3b.)
- BOEPFF 29. Washington Movers used the Industrial Bank account to transact its OTI business after November 12, 2014. (WM Sept. 28 Supplement, Response No. 4a.)
- BOEPFF 30. Sam Ghanem signed checks for Washington Movers drawn on the Industrial Bank account between November 12, 2014 and August 15, 2015. (WM Sept. 28 Supplement, Response No. 4b.)

- BOEPFF 31. MSC transported cargo for Washington Movers pursuant to MSC service contract 14-425. (WM Sept. 28 Supplement, Response No. 5c.)
- BOEPFF 32. MSC transported cargo for Washington Movers pursuant to MSC service contract 15-107OTE. (WM Sept. 28 Supplement, Response No. 6c.)
- BOEPFF 33. Turkon Container Transport and Shipping, Inc. (Turkon) transported cargo for Washington Movers pursuant to Turkon service contract 2014-667. (WM Sept. 28 Supplement, Response No. 7a.)
- BOEPFF 34. The Turkon service contract was negotiated by Sam Ghanem and Sandra Rodriguez on behalf of Washington Movers. (BOE Ex. 10.)
- BOEPFF 35. United Arab Shipping Co. (UASC) transported cargo for Washington Movers pursuant to UASC service contract 2013 0000252641. (WM Sept. 28 Supplement, Response No. 8a.)
- BOEPFF 36. Sam Ghanem was released from prison January 20, 2017. (BOE Ex. 33.)
- BOEPFF 37. The 2014 Commonwealth of Virginia State Corporation Commission Annual Report adds Sonia Kaovech as an officer of Washington Movers. (BOE Ex. 4.)
- BOEPFF 38. The 2015 Commonwealth of Virginia State Corporation Commission Annual Report deletes Sonia Kaovech as an officer of Washington Movers. (BOE Ex. 9.)
- BOEPFF 39. Sandra Rodriguez is no longer employed by Washington Movers. (Tr. of Nov. 9, 2016 Hearing, p. 21, lines 10-13.)
- BOEPFF 40. Sandra Rodriguez is no longer an officer of Washington Movers. (Tr. of Nov. 9, 2016 Hearing, p. 25, lines 9-21.)

C. Washington Movers Proposed Findings of Fact.

Washington Movers submitted two additional proposed findings of fact with its brief. BOE does not object to proposed finding number 1 and it is adopted.

- WMPFF 1. Sandra Rodriguez is no longer employed by or otherwise affiliated with Respondent. (Tr. of Nov. 9, 2016 Hearing, p. 21, lines 10-13).

Washington Movers' proposed finding number 2 states:

WMPFF 2. [Neither] Norma Ghanem nor any employee of Washington Movers International Inc. aided Sam Ghanem in the misconduct that led to his conviction for violating the Shipping Act. (Tr. of Nov. 9, 2016).

BOE argues that Finding of Fact No. 13 refutes this proposed fact. BOE also argues that the record indicates that "Sandra Rodriguez, an employee of Washington Movers, booked the container that was the basis of Sam Ghanem's criminal convictions. (See BOEPFF 2-5.)" (BOE Reply at 1.)¹¹

There is no evidence in the record that Norma Ghanem aided Sam Ghanem in the misconduct that led to his arrest, but Finding of Fact No. 13 states that "*Sam Ghanem and Washington Mover employees* concealed weapons in the doors and cut-up parts of salvaged motor vehicles and loaded the vehicles into a shipping container." FF 13 (emphasis added). Furthermore, Sam Ghanem was not arrested for and convicted of violating the Shipping Act. He was arrested for and convicted of Attempted Unlawful Export of Defense Articles in violation of 22 U.S.C. § 2778 and Smuggling of Goods from the United States in violation of 18 U.S.C. § 554. See FF 24. Therefore, WMPFF 2 is not adopted. The following finding of fact is made:

70. Norma Ghanem did not aid Sam Ghanem in the misconduct that led to his conviction for Attempted Unlawful Export of Defense Articles in violation of 22 U.S.C. § 2778 and Smuggling of Goods from the United States in violation of 18 U.S.C. § 554.

D. Additional Findings of Fact Made in This Decision.

Finding of Fact 22 read: "On January 6, 2014, a federal grand jury indicted Sam Ghanem for attempting to smuggle weapons to Lebanon through Washington Movers. (BOE Ex. 8 ¶ 16.)" *Washington Movers*, FMC No. 15-10 (ALJ Oct. 19, 2016) (Findings of Fact – October 19, 2016). I take official notice of the indictment. While the indictment alleges that Sam Ghanem owned and operated Washington Movers, the charge does not allege that he attempted to export and cause the exportation of firearm parts and accessories designated as defense articles "through Washington Movers." *United States v. Sam Rafic Ghanem*, RWT 8:14-CR-0008-001 (D. Md. Jan. 6, 2014) (Doc. 16). Therefore, Finding of Fact 22 is vacated and the following finding is made.

71. On January 6, 2014, a federal grand jury indicted Sam Ghanem for attempting to export and cause the exportation of firearm parts and accessories designated as defense articles under Category 1 of the United States Munitions List. *United States v. Sam Rafic Ghanem*, 8:14-CR-0008-001-RWT (D. Md. Jan. 6, 2014) (Indictment) (official notice).

¹¹ No evidence in the record suggests that Sandra Rodriguez had any knowledge that Sam Ghanem intended to put weapons in the container or had any reason to believe that export of the container and its intended cargo would violate federal law when she when she arranged for its shipment.

The following findings of fact are made based on the testimony of Norma Ghanem on November 9, 2016.

72. Norma Ghanem did not know about Sam Ghanem's plans to ship the weapons. Nov. 9, 2016, Hrng T'script at 15:7-11.
73. Norma Ghanem worked with IT to identify shipments in route when Sam Ghanem was arrested and Washington Mover's records and financial accounts were seized, then used her life insurance, her children's tuition money, money from sale of personal property, and borrowed money to pay carriers to ensure release of cargo being transported by Washington Movers. Nov. 9, 2016, Hrng T'script at 12:17-13:10.

VII. CONTENTIONS OF THE PARTIES.

A. BOE's Opening Brief.

BOE argues that Sam Ghanem's actions that led to his arrest, trial, and conviction directly relate to Washington Movers' OTI business and warrant revocation of its OTI license. BOE argues that corporations can only act through individuals. (BOE Brief at 9, citing *Crocus Investments LLC v. Marine Transport Logistics*, FMC No. 15-04, slip op. at 13 (FMC Mar. 6, 2017) (Memorandum Opinion and Order). Commission regulations impose full responsibility on a licensee for the acts and omissions of its employees and agents performed in connection with the conduct of its business. 46 C.F.R. § 515.4(b). Sam Ghanem, the sole owner, president, and QI of Washington Movers, committed two felonies when he used Washington Movers's premises, employees (including himself), and service contract to attempt to smuggle weapons to Lebanon.

The commission of federal offenses rises to the level of the most egregious circumstances warranting revocation. *In the Matter of an Ocean Transportation Intermediary License*, 30 S.R.R. 567, 570 (FMC 2004). The Commission has held that the felony conviction of and participation in an illegal scheme by a company's principal and proposed QI directly impacted the character and fitness of the company to provide ocean transportation intermediary services. In *Falcon Shipping, Inc. and Abdiel Falcon – Application for License as an Ocean Transportation Intermediary*, 32 S.R.R. 382 (FMC 2012), upholding the denial of a license application, the Commission concluded that the applicant lacked the requisite character for issuance of an OTI license based on the facts that the company's principal and proposed QI had been convicted of smuggling under federal law, participated in an illegal scheme, and violated the Shipping Act.

The same standard applies to license revocations. The Commission has stated that revocation is appropriate when the Commission can no longer rely upon the honesty and integrity of the licensee or its principals to the extent necessary to ensure

future conduct within the confines of the statute and regulations. *AAA Nordstar Line, Inc. – Revocation of License No. 12234*, 29 S.R.R. 429, 431 (FMC 2001). In that proceeding the Commission ordered revocation of respondent's license based on the felony convictions for mail fraud of its principals as well as their failure to advise the Commission of changes in material facts relating to the licensee's operations and the qualifications of its management. 29 S.R.R. 663, 664 (FMC 2002).

(BOE Brief at 10.)

Regarding Washington Movers' contention that after Sam Ghanem's arrest, it took immediate steps to separate the corporation from Sam Ghanem and that Washington Movers is Norma Ghanem's business, BOE argues that this contention is not supported by the evidence. Although legal ownership may have been transferred from Sam Ghanem to Norma Ghanem shortly after the arrest, Sam Ghanem remained active with the corporation and acted as an important part of its operations.

Washington Movers continued holding out to the public, including the Commission, that Ghanem was its President and ratified every action he took. Notwithstanding Ghanem's ostensible removal as an officer of the company, Respondent obviously found it advantageous to continue relying on Ghanem's various business relationships and experience and allowed him to continue signing service contracts, negotiate with the ocean carriers, and handle financial matters through the company's various bank accounts. By continuing to hold out Ghanem as its President, Respondent was [perpetrating] a falsehood on the very shipping public that it served.

(BOE Brief at 13-14.)

BOE argues that "[a] license may be revoked for 'Violation of any . . . Commission order or regulation related to the carrying on the business of an ocean transportation intermediary.' 46 C.F.R. § 515.16(a)(1). An OTI may be revoked for "[v]iolation of any . . . Commission order or regulation related to the carrying on the business of an ocean transportation intermediary." 46 C.F.R. § 515.16(a)(1) (no change in this regulation by 2015 amendments). In 2008, Washington Movers changed its corporate name without notice to or prior approval of the Commission as required by 46 C.F.R. § 515.18(a)(5).

BOE contends that the record establishes multiple violations and a continuous disregard of the Commission's regulations by Washington Movers." (BOE Brief at 17.) The Commission requires licensees to notify it within thirty days of any changes in fact from the information provided in its original license application on the FMC's Form 18 (FMC-18). 46 C.F.R. § 515.12(d). After Sam Ghanem's arrest and the change in ownership and management, Washington Movers failed to report the following changes to the Commission:

- The arrest, indictment, trial, conviction, and sentencing of Sam Ghanem

- The transfer of ownership of Washington Movers from Sam Ghanem to Norma Ghanem
- The removal of Sam Ghanem as an officer and director and appointment of Norma Ghanem as President, Secretary, and Treasurer
- The fact that its QI was purportedly no longer affiliated with Washington Movers
- The addition of Sajih Ghanem, Hanan Halabi, Sandra Rodriguez, and Sonia Kaovech as corporation officers
- The removal of Sajih Ghanem, Hanan Halabi, Sandra Rodriguez, and Sonia Kaovech as corporation officers

(BOE Brief at 18-20.)

The record demonstrates that Washington Movers' multiple failures to comply with Commission regulations is willful, habitual, and evidences a consistent disregard of the law. Critical to a determination of an OTI's fitness as a licensee is that it, "will obey the Commission's rules and policies." [*Harry Kaufman d/b/a International Shippers Co. of N.Y. – Independent Ocean Freight Forwarder License No. 35*, 16 F.M.C. 264, 271 (Examiner, 1972).] Compliance with the law is such an important element of character of a licensee that its license may be taken for its failure to abide by the Commission's regulations. *Id.* at 272; 46 C.F.R. § 515.16(a)(1) (no change in this regulation by 2015 amendments). Washington Movers' long record of continued non-compliance is yet an additional ground for revocation of its OTI license.

(BOE Brief at 21.)

B. Washington Movers' Response.

Washington Movers argues that the OTI License "is Washington Movers' property, not Sam Ghanem's property, and cannot be revoked based on Mr. Ghanem's conduct." (Memorandum in Opposition to [BOE] Opening Brief (Washington Movers Brief) at 6.) Washington Movers relies on *Harris News Agency, Inc. v. Bowers*, 809 F.3d 411 (8th Cir. 2015). In *Harris News*, a married couple sold firearms in their store under a federal license. Their son Brian, who had been convicted of a felony that prohibited him from possessing firearms, worked at the store. An Alcohol Tobacco and Firearms (ATF) investigation resulted in a guilty plea by the husband for lying to an ATF investigator about whether the son had possessed firearms.

The wife Lois and another son James Jr. applied for a new license to continue operating without the involvement of the husband or the son. As stated by the court:

An applicant for a license to sell guns must not have “willfully violated any of the provisions of [18 U.S.C. ch. 44].” 18 U.S.C. § 923(d)(1)(C). The ATF, after an informal hearing, concluded Harris News willfully violated 18 U.S.C. § 922(g)(1) (part of the covered chapter) and denied the Harris News application. Section 922(g)(1) forbids felons to possess guns. The ATF’s theory was that by working at Jim’s Hobbies and “allowing” Brian to work with firearms and ammunition, Lois and James Jr. also had become liable for Brian’s illegal possession under 18 U.S.C. § 2(a), which makes anyone who “aids, abets, counsels, commands, induces or procures” the commission of a federal crime “punishable as a principal.” See also *United States v. Roan Eagle*, 867 F.2d 436, 445 (8th Cir. 1989) (“To be guilty of aiding and abetting is to be guilty as if one were a principal of the underlying offense.”).

Harris News petitioned for “de novo judicial review” under 18 U.S.C. § 923(f)(3). On cross-motions for summary judgment, the district court ruled for the ATF, concluding “substantial evidence supports a finding that James Harris, Jr., violated [18 U.S.C. ch. 44] by allowing his brother, a convicted felon, to possess firearms at Jim’s Hobbies” and “also establishes that James, Jr. was plainly indifferent to the unlawfulness of the situation, which is all that is required for a finding of willfulness.”

Harris News v. Bowers, 809 F.3d at 413.

Harris News appealed and the court of appeals reversed, stating: “Absent a showing Lois and James Jr. affirmatively helped Brian possess guns illegally, the aiding-and-abetting statute does not make them liable for Brian’s alleged violations of 18 U.S.C. § 922(g)(1).” *Id.* at 414. The court concluded that “[t]he ATF had no authority to deny the Harris News license application under 18 U.S.C. § 923(d)(1)(C).” *Id.*

Washington Movers contends this case is analogous, arguing:

Washington Movers was not a party to the federal [criminal] proceedings against Sam Ghanem. . . . Norma Ghanem is an innocent spouse. In fact, Mr. Ghanem’s alleged criminal conduct took place on Saturday, December 21, 2013, when Washington Movers was closed for business. After two trials, the first of which resulted in the jury deadlocking, [Sam] Ghanem was convicted of attempted export, 18 U.S.C. § 2778, and sentenced to 18 months imprisonment. Through the entirety of the proceedings, other than a passing allegation that Norma Ghanem was possibly within ear shot of a conversation between Sam Ghanem and an informant, no allegations even suggested that Norma Ghanem was involved in any criminal activity. Norma Ghanem and Washington Movers, then and now, remain unimpeachable.

(Washington Movers Brief at 7-8.)

Washington Mover argues that revocation of its license is inappropriate because “Sam Ghanem’s conduct is unrelated to Washington Movers, and at the most, constitutes a first time offense,” Washington Movers Brief at 8, and there is no chance of a repeat offense. Washington Movers contrasts Sam Ghanem’s the facts of this case with the three separate offenses over several years described in *Commonwealth Shipping Ltd., Cargo Carriers Ltd., Martyn C. Merritt and Mary Anne Merritt – Submission of Materially False or Misleading Statements to the Federal Maritime Commission and False Representation of Common Carrier Vessel Operations*, 2003 FMC LEXIS 17 (FMC 2003).

Only after the foregoing plethora of violations and criminal conduct did the Commission decide to revoke Commonwealth’s license. *Id.* at 22.

The facts before the Commission in this case are highly distinguishable. First, Washington Movers is neither owned nor operated by Sam Ghanem. Sam Ghanem has no remaining interest in the business. Also, to the extent that Sam Ghanem’s conduct peripherally related to Washington Movers, to the extent that he was at Washington Movers’ premises when it was closed, revocation is inappropriate. Mr. Ghanem was acting outside the scope of his work for Washington Movers, acting when the business was closed. Pursuant to its own precedent, the Commission reserves revocation only for the most egregious circumstances, in which licensees demonstrate no intent of future compliance. Sam Ghanem’s criminal conviction arose out of a sting operation in which an FBI information asked Sam Ghanem to undertake a shipment. The shipment never occurred. Washington Movers has no prior history of any violations and Sam Ghanem, himself, has no other history of violations.

Washington Movers, under Norma Ghanem, is committed to respecting the Commission’s regulations and complying therewith. Ms. Ghanem is qualified to be the qualifying individual, and it is unwarranted to impose collective punishment on the Ghanem family due to Mr. Ghanem’s offense. Washington Movers should not be rendered impotent because of the independent conduct of Same Ghanem, effectively a third party removed from any of Washington Movers operations.

Washington Movers Brief at 9-10.

C. BOE Reply.

BOE filed a reply to Washington Movers’ response. BOE argues:

The Commission’s regulations impose responsibility for Sam’s conduct on Washington Movers, as the licensee. 46 C.F.R. § 515.4(b). Were the law otherwise,

corporate licensees could act with impunity by standing behind the artificial shield between the corporate entity and its principals. Consequently, the Commission appraises the character of a corporate entity by measuring the conduct of its principal. *Falcon Shipping, Inc. and Abdiel Falcon – Application For License*, 32 S.R.R. 382 (FMC 2012). And in carrying out its responsibility to protect the public, the Commission holds corporate licensees accountable for the acts and omissions of their principals. *AAA Nordstar Line, Inc. – Revocation of License No. [012234]*, 29 S.R.R. 663 (FMC 2002).

(BOE Reply at 4.)

BOE argues that “both before and after Sam Ghanem’s relinquishment of control, the company displayed a consistent disregard for the Commission’s regulations.” (BOE Reply at 7.) The standard for revocation is not a “a threshold quantity of violations and a recidivist respondent. . . . [T]he standard for license revocation is not numerically based, but rather is as set forth in [46 U.S.C. § 40903] and the Commission’s implementing regulations at 46 C.F.R. § 515.16.” (*Id.*) Responding to Washington Movers’ argument that revocation “should be limited to the most egregious circumstances,” BOE contends that the phrase “most egregious circumstances” does not mean a minimum number of offenses, but “violating the Shipping Act or Commission regulations, committing other federal offenses, or materially misrepresenting information regarding their qualifications.” (*Id.* at 8.) There is no provision for relaxing the standard for “first-time offenders” or requirement that revocation only occur when the licensee demonstrates no intent for future compliance with the Act and regulations. (*Id.* at 9.)

VIII. DISCUSSION.

A. Washington Movers Participated in Sam Ghanem’s Criminal Activities.

On December 21, 2013, Sam Ghanem was the sole owner, president, and QI of Washington Movers. FF 2, 6-7, 29, 31. On that date, Sam Ghanem and Washington Movers’ employees concealed weapons in the doors and cut-up parts of salvaged motor vehicles and loaded the vehicles into a shipping container. FF 13. Prior to loading the container, Sam Ghanem used Washington Movers’ service contract with MSC to arrange for the container and its contents to be transported by water to Lebanon. FF 14-18; BOE Ex. 3. The transportation of the weapons to Lebanon was the ultimate goal of the criminal activities. Sam Ghanem was arrested, indicted, convicted of two felonies in connections with the attempt to transport the weapons, and sentenced to prison. FF 19, 22, 24, 26.

Sam Ghanem used his corporation Washington Movers as his instrumentality to commit crimes involving unlawful smuggling of cargo and attempted export of firearms in foreign commerce. His felony convictions constitute violations of federal statutes related to carrying on the business of an OTI within the meaning of the Commission’s licensing regulations. Washington Movers’ participation in those felonies reflects directly upon Washington Movers’ continued fitness

and character to conduct business as an OTI. I conclude that a preponderance of the evidence proves Washington Movers violated statutes related to carrying on the business of an ocean transportation intermediary. 46 C.F.R. § 515.16(a)(1) and (4); *Falcon Shipping, Inc. and Abdiel Falcon – Application for License as an Ocean Transportation Intermediary*, 32 S.R.R. at 384.

B. Washington Movers Failed to Notify the Commission of its Corporate Name Change.

Washington Movers, Inc. changed its name to Washington Movers International, Inc., effective November 7, 2008. Although Washington Movers filed its name change with the Department of Assessments and Taxation for the State of Maryland, it did not notify the Commission at any time before the Commission instituted this proceeding that it had changed its name. FF 9-11; BOE Ex. 8, ¶ 13.

I conclude that a preponderance of the evidence proves Washington Movers failed to notify the Commission of its corporate name change as required by Commission regulations. 46 C.F.R. § 515.18(a)(5).

C. Washington Movers Failed to Notify the Commission of Sam Ghanem's Arrest, Indictment, and Felony Convictions.

Sam Ghanem, Washington Movers' QI, was arrested on December 21, 2013, and indicted on January 6, 2014. FF 19, 22. Washington Movers did not notify the Commission of the arrest and indictment. FF 21, 23. The Commission learned of the arrest when the FBI contacted the Commission to verify issuance of an OTI license to Washington Movers. FF 34-35. A jury found Sam Ghanem guilty and on August 14, 2015, a United States District Judge for the District of Maryland entered judgment finding Sam Ghanem guilty of two felonies: (1) Attempted Unlawful Export of Defense Articles in violation of 22 U.S.C. § 2778; and (2) Smuggling of Goods from the United States in violation of 18 U.S.C. § 554. The court sentenced him to a prison term of eighteen months. Washington Movers did not notify the Commission that Sam Ghanem had been found guilty and sentenced to prison. FF 24-27.

I conclude that a preponderance of the evidence proves Washington Movers failed to notify the Commission of Sam Ghanem's arrest, indictment, conviction, and sentencing as required by Commission regulations. 46 C.F.R. § 515.12(d). The fact that the Commission learned of the criminal proceedings prior to the trial, conviction, and sentencing does not obviate the obligation imposed on Washington Movers by the regulation to notify the Commission of these events.

D. Washington Movers' Defenses.

1. Defense that the change in ownership absolves Washington Movers of liability.

a. Criminal activity.

Washington Movers argues that “[t]he [OTI] License is Washington Movers’ property, not Sam Ghanem’s property, and cannot be revoked based on Mr. Ghanem’s conduct.” (Washington Movers Brief at 6.) As the discussion above makes clear, Washington Movers itself was involved in Sam Ghanem’s activity. Washington Movers’ service contract with MSC was a necessary element required to provide the means to transport the weapons to Lebanon. While it may have been Sam Ghanem, the sole stockholder and officer of Washington Movers, who made the decisions for Washington Movers, a corporation can only act through individuals. *Crocus Investments LLC v. Marine Transport Logistics*, FMC No. 15-04, slip op. at 13 (FMC Mar. 6, 2017) (Memorandum Opinion and Order). As sole stockholder and officer of Washington Movers, Sam Ghanem’s scope of work for Washington Movers was what he wanted it to be.

A new owner takes a corporation with its rights and liabilities. When Norma Ghanem acquired ownership, she took it with the liability of Washington Movers’ involvement in the criminal activity. Washington Movers does not cite any authority holding that because a new stockholder did not herself participate in a corporation’s criminal activity, she acquires the corporation free and clear of the corporation’s prior misdeeds.

Without citing any authority suggesting the facts are relevant, Washington Movers argues that “Washington Movers was not a party to the federal [criminal] proceedings against Sam Ghanem” and that “Norma Ghanem is an innocent spouse.” The facts that the United States Attorney chose not to include Washington Movers as a defendant in the criminal action and that there is no evidence proving that Norma Ghanem, the new owner, participated in the criminal activity are irrelevant to the question of whether the Commission may sanction Washington Movers and revoke its license for violations of the Shipping Act related to the criminal activity.

Without citing any authority suggesting it is relevant, Washington Movers argues that the “criminal conduct took place on Saturday . . . when Washington Movers was closed for business.” One may consider a corporation to be open for business any time its sole stockholder and corporate officer is doing corporate work.

Harris News, the case concerning denial of an application for a federal license to sell guns, is inapposite. As the court stated, the issue there was whether Lois and James Jr. “willfully violated any of the provisions of [18 U.S.C. ch. 44]” when Brian worked in the store. The court held that the ATF did not present evidence proving Lois and James Jr. had “affirmatively helped Brian possess guns illegally”; therefore, the ATF could not deny the license application. *Harris News v. Bowers*, 809 F.3d at 414. The issue here is whether Washington Movers “(1) is not qualified to provide

intermediary services; or (2) willfully failed to comply with a provision of this part or with an order or regulation of the Commission.” 46 U.S.C. § 40903(a). The determination is based on whether the evidence shows Washington Movers violated a law or regulation, not who owned the corporation at the time of the violation.

The change from Sam Ghanem to Norma Ghanem as sole stockholder and officer does not relieve Washington Movers of its responsibility for its actions in the criminal activity.

b. Failure to notify the Commission of the name change.

The obligation to notify the Commission arose when the name was changed in 2008. That obligation continued when the ownership changed in 2014. Washington Movers did not notify the Commission of the name change either when Sam Ghanem was the sole stockholder and officer or when Norma Ghanem was the sole stockholder and officer. Washington Movers’ obligation remained the same throughout. The evidence shows that Washington Movers did not “obey the Commission’s rules and policies for the conduct of licensed [entities].” [*Harry Kaufman d/b/a International Shippers Co. of N.Y. – Independent Ocean Freight Forwarder License No. 35*, 16 F.M.C. at 271. The change in ownership did not affect Washington Movers’ obligation. To the extent culpability should be attributed to the sole stockholder and officer, culpability should be attributed to Norma Ghanem for the period after she acquired the corporation.

c. Failure to notify the Commission of Sam Ghanem’s arrest, indictment, and felony convictions.

The obligation to notify the Commission of Sam Ghanem’s arrest arose December 21, 2013, when Sam Ghanem was the sole stockholder and officer and the obligation to notify of the indictment, trial, conviction, and sentencing arose when Norma Ghanem was the sole stockholder and officer. The evidence shows that Washington Movers did not “obey the Commission’s rules and policies for the conduct of licensed [entities].” [*Harry Kaufman d/b/a International Shippers Co. of N.Y. – Independent Ocean Freight Forwarder License No. 35*, 16 F.M.C. at 271. The change in ownership did not affect Washington Movers’ obligation. To the extent culpability should be attributed to the sole stockholder and officer, culpability should be attributed to Norma Ghanem for the period after she acquired the corporation.

2. Washington Movers’ argument regarding Norma Ghanem’s application to become QI is not relevant to this proceeding.

Washington Movers contends that:

Norma Ghanem applied to become Washington Movers’ qualifying individual, and upon denial of her application, applied to register another company with the FMC and become its qualifying individual. Ms. Ghanem’s attempts at compliance were thwarted due to this proceeding. Norma Ghanem, individually and as an affiliate of

Washington Movers, was artificially stopped from following the Commission's rules and continuing her lawful business.

(Washington Movers Brief at 8.) Washington Movers relies on a case holding that an Interstate Commerce Commission (ICC) policy of institutionalized delay in reviewing and application and issuing a license when there is an ongoing investigation into an applicant's conduct violates the APA. *N. Am. Van Lines, Inc. v. United States*, 412 F. Supp. 782 (N.D. Ind. 1976)

The order to show cause issued by the Commission established the issues germane to this proceeding. These issues do not include Norma Ghanem's application to become QI for Washington Movers or her application to become QI for First Eagle, the new company that she wanted to open. Even if the applications were germane, I first note that the order of the applications stated in Washington Movers' brief is inconsistent with Norma Ghanem's testimony in the November 9, 2016, hearing. Norma Ghanem testified that in November 2014, she wanted to open a shipping company named First Eagle and sought an OTI license from the Commission. She testified that the application was denied because of Sam Ghanem's arrest. Nov. 9, 2016, Hrng T'script at 18:18-20:7. Then, in November 2015, she filed an application to be approved as Washington Movers' QI. She withdrew that application for reasons related to Sam Ghanem's conviction. Nov. 9, 2016, Hrng T'script at 27:19-29:4. Second, while the brief contends that the Commission denied Norma Ghanem's QI application, Norma Ghanem testified that she withdrew application.

Assuming the Commission denied Norma Ghanem's application to become QI of either Washington Movers or First Eagle, the avenue to contest the denial of an application for OTI license is not in this proceeding, but by the review process set forth in the regulations. *See* 46 C.F.R. § 515.15 (2015) (if before December 9, 2015); 46 C.F.R. § 515.17 (2016) (if after December 9, 2015). If Washington Movers were claiming that the Commission deliberately delayed Norma Ghanem's QI application because of this proceeding, thereby thwarting her attempts to bring Washington Movers into compliance with Commission regulations, Washington Movers' remedy would not be before the Commission, but in a district court seeking an order compelling the Commission to consider the application as occurred in *N. Am. Van Lines, Inc. v. United States*.

3. Washington Movers' failure to report its name-change is appropriately considered.

Washington Movers changed its name to Washington Movers International, Inc., on November 7, 2008. Commission rules require an OTI to obtain permission for a name change from the Commission. 46 C.F.R. § 515.18(a)(5). The Commission's Order to Show Cause states that "[i]t further appears that Washington Movers failed to notify the Commission of its corporate name change as required by Commission regulations, 46 C.F.R. § 515.18(a)(5)." *Washington Movers*, Order at 4, FMC No. 15-10 (FMC Oct. 8, 2015) (Order to Show Cause).

Washington Movers argues that "revoking or suspending an OTI license should be limited to the most egregious circumstances" (Washington Movers Brief at 10) and that the "untimely

notification of its name change is neither egregious nor a material misrepresentation of its qualifications [and] should play no role in the Commission's decision related to its License." (*Id.* at 11.) The primary Commission case on which Washington Movers relies states: "Prior decisions have held that revoking or suspending an OTI license should be limited to the most egregious circumstances, such as OTIs violating the Shipping Act or Commission regulations, committing other federal offenses, or materially misrepresenting information regarding their qualifications." *In the Matter of Ocean Transportation License in the Name of Apparel Logistics, Inc., Petition for Appeal from Staff Action or in the Alternative for Initiation of an Investigation*, 30 S.R.R. 567, 570 (FMC 2004).

For seven years, five when Sam Ghanem was the president and only stockholder and nearly two years when Norma Ghanem was the president and only stockholder, Washington Movers was in violation of 46 C.F.R. § 515.18(a)(5). The failure to report the name change "involves an [OTI] violating . . . [a] Commission regulation[]," *In the Matter of Ocean Transportation License in the Name of Apparel Logistics, Inc., Petition for Appeal from Staff Action or in the Alternative for Initiation of an Investigation*, 30 S.R.R. at 570, and is appropriately considered in this proceeding.

IX. CONCLUSION

Washington Movers' problems result from the actions of one person. It was Sam Ghanem who originally did not report Washington Movers' change of name to the Commission. It was Sam Ghanem who attempted to use his position as Washington Movers' owner and president and Washington Movers' service contract with MSC to smuggle weapons to Lebanon, was caught, indicted, tried, and convicted, then removed as Washington Movers' sole stockholder and officer, which triggered the requirement to report these events to the Commission.

It appears that Norma Ghanem did a commendable job handling Washington Movers' business after federal agents arrested Sam Ghanem and seized Washington Movers' records and financial accounts. She worked with IT to identify shipments then in route, then used her life insurance, her children's tuition money, sale of personal property, and borrowed money to pay carriers to ensure release of cargo being transported by Washington Movers at the time of the arrest. She became Washington Movers' sole stockholder and officer on January 1, 2014. Although the affidavit of the FBI agent in support of the criminal complaint states that some discussion about the possibility of exporting weapons in containers with cars occurred "within earshot" of Norma Ghanem (BOE Ex. 1 ¶¶ 11-12), there is no evidence in the record that she had advance knowledge of Sam Ghanem's plan to export weapons to Lebanon.

Washington Movers has argued since its initial response to the Commission's show cause order that it is "no longer associated with Sam Ghanem" and "submitted evidence purporting to show that Sam Ghanem transferred 100% ownership and control of the company to his wife, Norma Ghanem," *Washington Movers*, FMC No. 15-10, Order at 3 (FMC Feb. 12, 2016) (Order Regarding Preliminary Issues), but the documentary evidence and Norma Ghanem's testimony indicate that Sam Ghanem continued to function as an integral part of the business. Sam Ghanem continued to

work and handle financial accounts, and signed the service contracts that permitted Washington Movers to continue to operate its OTI business. Washington Movers continued to consider Sam Ghanem to be its QI when Norma Ghanem testified on November 9, 2016, nearly three years after his arrest. *See* Nov. 9, 2016, Hrng T'script at 27:12-18 ("[BOE COUNSEL]: Okay. Currently is Washington Movers conducting operations under its FMC license? [NORMA GHANEM]: Yes. [BOE COUNSEL]: And who is the QI at the present time? [NORMA GHANEM]: Sam."). Washington Movers continued to represent to the vessel-operating common carriers with which it had service contracts that Sam Ghanem was the president of Washington Movers.

When Norma Ghanem acquired ownership of the Washington Movers stock and became responsible for its operations, she also assumed the responsibility imposed on the corporation by the Commission's regulations. During the period when Norma Ghanem has been the sole stockholder and officer, Washington Mover did not notify the Commission that its QI had been arrested, indicted, tried, convicted, and sentenced for attempted smuggling or that Washington Movers had changed its name.

An OTI license may be revoked for a violation of any provision of the Act, or any other statute or Commission order or regulation related to carrying on the business of an ocean transportation intermediary or where the Commission determines that the licensee is not qualified to render intermediary services. 46 C.F.R. § 515.16(a) (2015). Washington Movers' participation in the criminal activities and violation of Commission regulations requiring reporting of the change of name and the arrest, indictment, conviction, and sentencing of its QI warrant revocation of its OTI license.

O R D E R

Upon consideration of the Commission's Order to Show Cause, the parties' evidence and arguments submitted, the findings of fact and conclusions of law, and for the reasons stated above, and upon the conclusion that Washington Movers, Inc., has violated 46 C.F.R. §§ 515.12(d) and 18(a)(5) (2015), it is hereby

ORDERED that Washington Movers, Inc.'s ocean transportation license number 017843 be **REVOKED** pursuant to 46 U.S.C. § 40903(a). It is

FURTHER ORDERED that Washington Movers, Inc., cease and desist all ocean transportation intermediary activities.


Clay G. Guthridge
Administrative Law Judge